

1 2. California law establishes a presumption that “the detriment caused by the breach of an
2 obligation to pay money only, is deemed to be the amount due by the terms of the obligation, with
3 interest thereon.” Cal. Civ. Code § 3302. Defendants’ Excessive Late Fees represent exorbitant
4 interest rates for tenants’ failure to pay the amount of rent or other charges due. Defendants’ late fees
5 exceed any reasonable measure of Defendants’ actual damages sustained as a result of their tenants’
6 late rent payments or late payments of outstanding balance amounts.

7 3. For example, when Defendants charge a \$50 late fee when a tenant has paid a rent of
8 \$1,200 two days late, this amounts to an interest rate of 760 percent per annum. By contrast, a 10
9 percent annual interest rate in this example would dictate a daily late fee of approximately thirty-three
10 cents. Similarly, when Defendants charge a \$50 late fee when a tenant has paid an outstanding balance
11 of \$150 two days late, this amounts to an interest rate of 6083 percent. The unreasonableness of the
12 late fee penalty is further demonstrated by the fact that Defendants charge these fees whether the rent is
13 one day late or two weeks late and whether the outstanding balance is \$150 or \$2,500.

14 4. As another example, under Defendants’ Excessive Late Fee policy and practice, if a
15 tenant has been a few days late in paying rent in full in two different months, and has a \$100 or \$150
16 balance consisting of two late fees, Defendants will charge that tenant a new late fee in every month
17 that follows until the full balance of late fees is paid, even if the tenant is paying the full rent itself on
18 time each month. In other words, when a tenant makes a timely payment of one month’s rent but also
19 has a small outstanding balance consisting of prior late fees or other charges, Defendants will allocate
20 the payment to a portion of the balance that includes the outstanding fees, but will then charge a late
21 fee because the full balance has not been paid off. This policy is set out in Defendants’ standard lease,
22 which defines “rent” to include late fees and any other charges outstanding, and provides that a tenant
23 will be charged a late fee if the full amount of outstanding “rent” is not received each month. This
24 policy and practice results in Defendants charging tenants multiple Excessive Late Fees on minimal
25 balances that do not represent a reasonable measure of Defendants’ actual damages.

26 5. For a sub-class (or separate class, but referred to herein as “sub-class”) of tenants,
27 Defendants charge Excessive Late Fees for outstanding minimal balances even though the tenants’
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